

Paytm Chukta

"hisaab chukta" = the account is settled

Paisa Paytm pe aata hai.

Ab supplier ka bill bhi Paytm se chukta.

Money already comes in on Paytm. Now the shop's stock bills go out on Paytm too.

Track B • Merchants as UPI payers

Segment: owners of stock-buying shops on Paytm Soundbox / QR

Pilot city: Kanpur

Kartik Raj • Individual entry

B.Tech, IIT Kanpur • Field research in Kanpur, Sep–Oct 2026

50

VOCs in Round 1 (10 in-depth)

21+4

shop owners + distributors
interviewed in Round 2

20

distributors in a randomised
90-day pilot

₹0

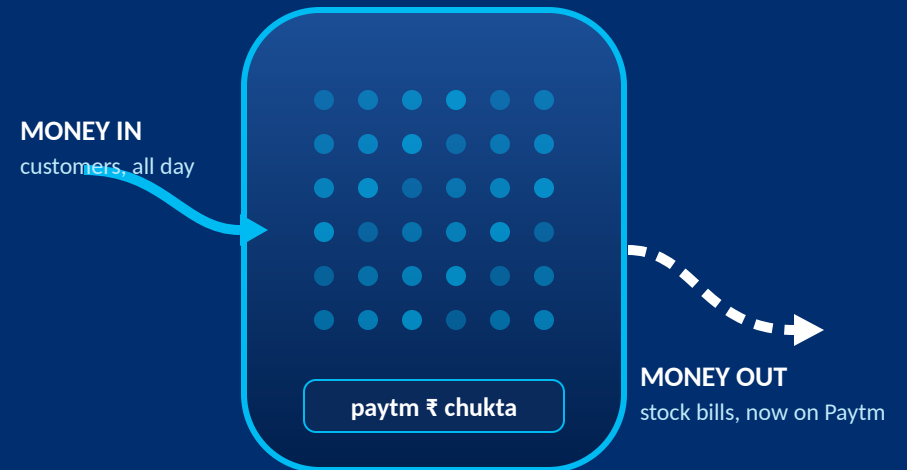
cashback in the growth model



"Aaj ₹31,420 aaye.

Kal Sharma Traders ke ₹12,400 dene hain."

Paytm Soundbox • 9:00 pm closing summary



Chukta turns Paytm from the app that hears a shop's income into the app that pays its suppliers, using bills and voice instead of cashback

🙄 Problem (validated in R1)

1.57 Cr merchants pay Paytm for a Soundbox / QR, yet their largest outgoing payments, **supplier stock bills (80% of ₹ paid out)**, leave through PhonePe, Google Pay or cash.

39/39

Paytm-receiving shops pay suppliers elsewhere

0%

Paytm share of ₹52 L/mo business UPI logged

50 VOCs · 10 in-depth · 12 Kanpur areas · 9 categories · owners only

"Paytm sirf aane ke liye hai, dena ho toh PhonePe khulta hai."

VOC-001 · Kirana

🔍 Why it happens

1

Wrong app in hand: 32/50 pay from the owner's personal phone; 40/50 didn't know Paytm Business can pay.

2

Bills live outside: paper challans, WhatsApp PDFs, memory.

3

The salesman decides: whatever QR he shows wins (10/50).

4

Cash short on stock day: 9/50 barrier; 32/50 want 7-day pay-later.

+

New in 2026: 0.4% MDR makes distributors push for cash / NEFT (23/50 already asked).

💡 Solution: Paytm Chukta

A **supplier-bill inbox** inside Paytm for Business *and* the Paytm app, where the shop's money already lands.

🏠 Bill aata hai

Distributor pushes from Tally / Marg / Busy (Bharat Connect or Paytm API), owner scans the **signed e-invoice QR**, or snaps / forwards the bill

🕒 Yaad dilata hai

Soundbox's 9 pm summary adds tomorrow's dues

✅ Ek tap chukta

Payee verified against supplier GSTIN; invoice-tagged UPI on the rail the supplier picks

⌚ 7 din baad

Credit line on UPI from lending partners (phase 2)

Growth engine: distributors get **Chukta Collect** free; their salesmen enrol their 150–400 shops.

🔧 Validation (Round 2)

Screener → concept test → **stated commitment ladder**, in person, 8 Oct.

Interviewed **21** shop owners + 4 distributors in Kanpur.

7/21

said they'd pay their **next** supplier bill through Paytm (stated; 95% rated it 4–5)

2 of 4 distributors

agreed to join the 90-day pilot (verbal)

7 of 21 shops get bills with an e-invoice QR. Usability and real payments are tested in pilot weeks 1–2.

🚩 90-day Kanpur pilot

- 20 distributors (FMCG + pharma), cluster-randomised 10 treat / 10 control, ~2,500 retailers per arm
- Baseline = 4 weeks of distributor ledgers (who paid which invoice, by which mode): the only true denominator
- Scale if Paytm share of treated shops' supplier ₹ is ≥ +25 pp vs control and ≥ 60% of activated shops repeat ≥ 3 bills/month
- Stop if < +10 pp or activation < 15%. Budget ≈ ₹10 L

📈 Business impact (national roll-out, no cashback)

Metric	Today	Year 1	Year 2	Year 3
Paytm share of segment's supplier UPI (main metric)	~8%	11.4%	18.4%	29.7%
Active Chukta merchants (new business-payer MTU)	–	3.4 L	8.5 L	14.8 L
Incremental Paytm UPI GMV / year	–	₹10,255 Cr	₹31,742 Cr	₹66,230 Cr
Revenue (payer + acquirer MDR, credit distribution)	–	₹18 Cr	₹64 Cr	₹145 Cr
Cost per ₹1,000 of new GMV · per extra active merchant	–	₹1.99 · ₹602	₹0.62 · ₹231	₹0.36 · ₹163

Pool: 42.4 L target shops × ₹60k supplier UPI/month = **₹25,434 Cr/month**. Year 3 adds ~0.18 pp to Paytm's share of *all* UPI value from one segment.

🔄 What changed since Round 1

- Rail-neutral after the 15 Oct MDR: supplier picks QR or bank account; MDR is upside, not the model
- Signed e-invoice QR as the primary capture for ₹5 Cr+ distributors
- Chukta in **both** Paytm apps (32/50 pay from personal phones)
- Push-only bills: no UPI collect (P2P collect ended Oct 2025)
- Distributor-funded early-pay discount, **₹0 Paytm cashback**
- Forecast cut: adoption 8/20/35% (was 15/30/45%)

Summary

Problem & insight

Validation

Design & feasibility

GTM & pilot

Business impact

Annexure

1

Round 1 found a 100% "leak"; Round 2 re-tested the fix against 2026's new rules

The problem held up in every Kanpur shop we met. Seven design choices changed after checking MDR, the collect ban, device binding and field reality

Recap: the money flow Paytm sees vs misses

MONEY IN · Paytm owns

Customers pay ₹50–₹2,000 all day
→ **Soundbox** / QR "₹ prapt hue"

Shop's bank a/c

MONEY OUT · Paytm misses

PhonePe / GPay / cash, from the
owner's personal phone →
distributor ₹10k–₹80k

39/39

Paytm-receiving shops pay suppliers elsewhere

80%

of all ₹ paid out goes to distributors / wholesalers

32/50

pay suppliers from the owner's personal phone

23/50

had a supplier ask for cash / bank transfer recently

Payment occasions (₹ paid out / month, 50 VOCs)

Occasion	Pattern	Ticket	₹/mo	Share
Distributor / wholesaler stock	High value, high freq.	₹10k–₹80k, 2–12×	₹64.9 L	79.7%
Milk, bread, vegetables	Low value, high freq.	₹800–₹4k, daily	₹12.4 L	15.2%
Shop rent	High value, low freq.	₹8k–₹25k, monthly	₹2.9 L	3.6%
Staff salary	Medium value, low freq.	₹8k–₹15k, monthly	₹1.3 L	1.6%

Rail mix of that money: **GPay 34% · PhonePe 30% · NEFT/RTGS 23% · cash 13% · Paytm 0%**.
Primary business-pay app: PhonePe 33, GPay 15, Paytm 0.

"Paytm sirf aane ke liye hai, dena ho toh PhonePe khulta hai naturally."
VOC-001 · Kirana · IITK Shopping Complex

"Salesman samne khada hota hai, jo QR de de us par kar dete hain."
VOC-041 · Kirana · Gurdev Palace

Model note: Kanpur sample shows Paytm at 0% of supplier UPI; the national model uses Paytm's ~8% app share as the baseline, so uplift is understated.

What changed from Round 1 to Round 2, and why

Design choice	Round 1	Round 2	Why (evidence)
Payment rail	Pay the supplier's QR (P2M) mainly	Rail-neutral: supplier picks merchant QR, VPA or bank a/c; Chukta's value is bill + reminder + reconciliation	0.4% MDR on P2M > ₹2,000 from 15 Oct is ~5–10% of a 4–8% distributor margin; 23/50 suppliers already ask for cash/NEFT
Bill capture	Photo + WhatsApp + ERP push	Signed e-invoice QR scan first (exact, tamper-proof), ERP push, photo only as fallback	E-invoicing is mandatory above ₹5 Cr turnover; the IRP-signed QR carries GSTINs, invoice no., value, IRN
Where it lives	Paytm for Business app	Both Paytm for Business and the Paytm app, synced by merchant ID	32/50 pay from a personal phone; UPI device binding means the payment must start on the phone that holds the account
Presentment	"Distributor pushes invoices"	Push-only, payer-initiated; never a UPI collect request	NPCI ended P2P collect on 1 Oct 2025; push-only is also the anti-fraud story
Incentive	None specified	Optional early-pay discount set and funded by the distributor; ₹0 Paytm cashback	Brief scores cashback lower; incentive must survive switch-off (tested at day 60)
Forecast	Adoption 15/30/45%; share 55/65/75%	Adoption 8/20/35%; share 50/60/70%	Realistic ramp after a 90-day pilot; sensitivity shown on slide 15
Measurement	"Compare with a control group"	Cluster-randomised by distributor; distributor ledger = denominator	Paytm cannot see payments made on other apps; salesmen would contaminate a shop-level control
Who we test	50 merchants, 0 distributors	Merchants + distributors (the actor who decides the QR)	10/50 said "the salesman shows his own QR"

Four hypotheses Round 2 had to test, and where they are answered

H1 Desirability

A shop moves a *real* bill to Paytm when the bill is already inside Paytm

Slide 7 · ladder L3

H2 Channel

Distributors will enrol their retailers and accept Chukta payments

Slide 7 · pilot interest

H3 Feasibility

Bills can be captured without typing (e-invoice QR, push, photo)

Slides 7, 10

H4 Durability

Usage holds after any incentive is switched off

Slide 12 · day-60 holdout

Why now: five 2025–26 changes make a shop's outgoing money winnable

Rules now favour payer-initiated, high-ticket, invoice-linked payments. Every competitor holds either the inflow or the bill, never both

Catalysts → what it means for Chukta

- 1 Oct 2025

NPCI ends UPI P2P collect requests
Every P2P payment is now payer-initiated. A bill must be presented inside the payer's app: exactly what Chukta does.
- 9 Oct 2025

Paytm launches AI Soundbox (11 languages, voice assistant)
A talking device already sits on the counter at closing time. Voice reminders need no new hardware.
- May 2026

TallyPrime 7.0 ships Bharat Connect for Business
Distributors can push invoices system-to-system; 2 mn+ invoice txns in Q3 FY26, ~50% MoM growth.
- 15 Oct 2026

UPI MDR 0.4% on P2M > ₹2,000 (cap ₹300); ~20% to the payer app
Stock bills become a revenue line for the payer app, but also a cost for distributors → **be rail-neutral**.
- 31 Dec 2026

NPCI 30% volume-cap deadline
PhonePe ~46%, GPay ~32% (Jul 2026). Leaders are constrained; the #3 app has room to grow.

Paytm's unfair advantage: 1.57 Cr device merchants (+27 L YoY), merchant GMV ₹7.1 L Cr (+31%), financial-services revenue ₹814 Cr (+45%) in Q1 FY27. It already hears every rupee in.

UPI app volume share, 2026 (NPCI)



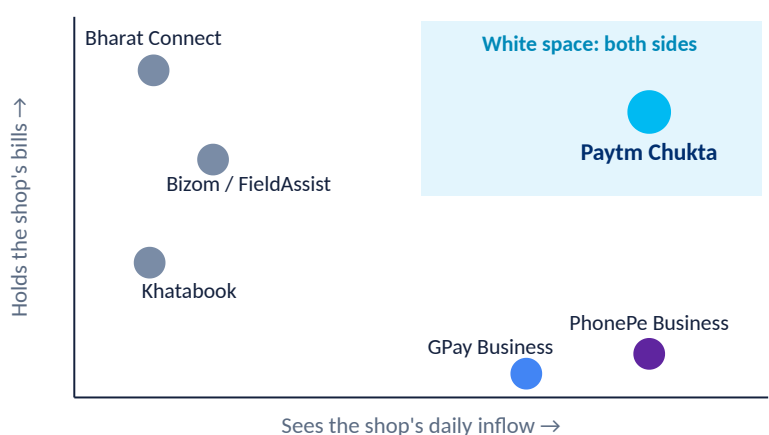
PhonePe/GPay: Jul 2026; Paytm: Aug 2026. Each leader is above the 30% cap.

Competitive landscape: who covers which part of the supplier-payment job

Player (scale)	Sees shop's inflow	Holds bills to pay	Pays from the bill	Credit at bill	Gap Chukta fills
PhonePe Business (5 Cr+ merchants, speakers, EDI loans)					Receives & lends; no supplier-bill box
Google Pay for Business (UPI QR, SoundPod)					Fast scan-and-pay, no bill, no link to receipts
Khatabook / OkCredit (ledgers)					Record in one app, payment in another
Bizom / FieldAssist DMS (8 M retailers via brands)					Distributor-side; retailer still pays in another app
Bharat Connect for Business (NBBL; Tally 7.0)					ERP-to-ERP; misses the paper-bill kirana. Chukta plugs in as the retailer front-end
★ Paytm Chukta					Bill + reminder + pay + credit where the money lands

Harvey balls: ○ none → ● full, from public product listings (Play Store, Sep 2026) and company pages; see Annexure A4.

Positioning map



So what for Paytm

- **Nobody joins inflow and outflow.** The player who sees both can time a reminder to the moment cash arrives and underwrite credit on the full working-capital cycle.
- **Build on public rails, don't fight them:** Bharat Connect, e-invoice QR and credit line on UPI are all live; Chukta is the retailer-side front-end they lack.
- **Copy risk is real** (PhonePe has 5 Cr+ merchants): speed plus distributor integrations are the moat (slide 15).
- **Track B fit:** stock bills are high-value, high-frequency P2M payments, the exact ticket band where the payer app now earns MDR.

Who we solve for: three shop archetypes, and the distributor who picks the QR

Stock bills are 80% of what a shop pays out. The same frictions appear in every archetype at different strength, so one product with three entry points fits all

Kirana / FMCG owner 15 VOCs (10 kirana, 5 FMCG) ₹1.42 L avg business UPI / mo, kirana ₹1.24 L avg, FMCG stores Pattern: Distributor bills 4–8× / month, ₹15k–₹45k; PhonePe is the default app Top barrier: Habit + salesman's QR Paytm today: Soundbox receives all day; 0 supplier bills paid via Paytm "GPay par salesman ka QR scanned rehta hai, wahi use karta hu." VOC-016 · Kirana · Kakadeo Job to be done: "When the salesman is at my counter, let me pay the right bill in one tap and keep proof." Chukta entry point: Distributor push + Soundbox reminder	Chemist / pharmacy 5 VOCs ₹3.09 L avg business UPI / mo ₹3.0 L median Pattern: Highest ticket; distributor sends a GPay QR on WhatsApp; strict credit terms Top barrier: Supplier's QR on WhatsApp Paytm today: Paytm QR receives; stock bills paid on GPay / NEFT "Medical distributor apna GPay ka QR bhejta hai WhatsApp pe, wahi aasan hai." VOC-002 · Pharmacy · IITK Job to be done: "Never miss a distributor due date; my credit terms depend on it." Chukta entry point: E-invoice QR scan + due-date engine	Canteen / dhaba / dairy 15 VOCs (10 canteen, 5 dairy) ₹66k avg business UPI / mo, canteens ₹24k avg, dairy / bakery Pattern: Daily perishables ~30× / month, ₹1.5k–₹2k; cash-heavy mornings Top barrier: Short on cash at stock time Paytm today: Soundbox receives; perishables in cash, rest on PhonePe / GPay "Sabji wala cash mangta hai aur baki ke liye PhonePe use karte hain." VOC-003 · Canteen · Hall 1 Job to be done: "Let me stock up today and pay in a week, without begging for udhaar." Chukta entry point: 7 din baad (phase 2 credit)	Distributor / wholesaler Supply side · R2 interviews: 4 150–400 retailers served 7–21 d credit given Pattern: 7–21 days retailer credit, 4–8% margin, collections by salesman cash runs Top barrier: 0.4% MDR on QR; manual matching Paytm today: Retailers pay on whatever QR the salesman shows; no invoice link "GST bill hota hai toh bank se karte hain, baki salesman aake QR deta hai." VOC-009 · Hardware retailer on how distributors collect Job to be done: "Know who paid which invoice without sending a salesman to collect." Chukta entry point: Chukta Collect (free) + rail choice
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Friction heat-map: how strongly each barrier shows up per archetype (R1 coded barriers, n = 50) → which Chukta module answers it (● strongest; analyst coding of R1 barriers by category)					
Friction (VOC count)	Kirana / FMCG	Chemist	Canteen / dairy	Distributor view	Chukta answer
Habit: another app is the default (17 coded · 21 incl. "only for receiving")	●	●	●	●	Bill sits where money lands + 9 pm Soundbox nudge
Salesman / supplier shows his own QR (10)	●	●	●	●	Distributor asks shops to "pay in Chukta"; Chukta Collect
Short on cash when stock arrives (9)	●	●	●	●	7 din baad: credit line on UPI, supplier paid now
Big bills go by NEFT / RTGS (6)	●	●	○	●	Pay to supplier bank a/c over UPI, invoice attached
Pays from personal phone; Business app = receiving only (32 phone · 4 coded)	●	●	●	○	Chukta in both Paytm apps, bills synced

Six interventions scored: only a bill-led, distributor-seeded design wins on GMV and stickiness

Cashback buys transactions that stop when the money stops; awareness alone leaves the habit intact. Chukta keeps the cheap pieces as components

Option scoring (○ low → ● high; risk scored so that ● = low risk)								
Option	GMV uplift	Works without cashback	VOC frictions solved	Speed to pilot	Defensible vs PhonePe / GPay	Regulatory & credit risk	Total /24	Verdict
Cashback / scratch cards on supplier payments Rewards per bill paid via Paytm			1/5				12	Reject
"You can pay suppliers" awareness push 40/50 didn't know; in-app + Soundbox message			1/5				15	Use at launch
Soundbox voice nudge alone "Kal ₹12,400 dena hai" with no bill behind it			1/5				16	Component
Stock pay-later first (credit-led) BNPL for stock bills as the hook			1/5				11	Phase 2
ERP / Bharat Connect integration only Invoices for ERP-using distributors			2/5				16	Capture channel
Chukta: bill inbox + voice + distributor-led + optional credit Bundles the best of 2, 3, 4, 5			5/5				21	Recommend

Design principles we kept

- Put the bill where the money lands**
Inflow and outflow in one place is the only position competitors can't copy quickly.
- Let the distributor recruit**
One signed distributor brings 150–400 shops; the salesman already visits weekly.
- Never pay for a transaction**
₹0 Paytm cashback. Any discount is the distributor's own early-pay scheme.
- Be rail-neutral**
Supplier picks QR or bank account; GMV counts on Paytm either way; MDR is upside.
- Trust before speed**
Payee name checked against supplier GSTIN; push-only, never collect.
- Credit is a feature, not the hook**
Launch after payment habit forms; lender carries the risk.

Why not cashback? A 0.1% reward on Chukta's Year 3 GMV would cost ₹66 Cr a year, every year, 2.7× Chukta's entire Year 3 cost, and PhonePe can match it overnight.

Why not credit first? Credit line on UPI only works on merchant (P2M) payees, needs lender underwriting under RBI's 2025 digital-lending rules, and helps 9/50 shops. It is a retention feature, not the hook.

Why not ERP alone? Bharat Connect reaches distributors on Tally / ERP, but the retailer still needs an app to receive and pay the bill. Chukta is that retailer front-end.

Robustness check on the weights

Scoring rule	Cashback	Awareness	Voice	Credit	ERP	Chukta
Equal weights	12	15	16	11	16	21
GMV uplift × 2	15	16	17	14	18	25
Speed to pilot × 2	16	19	20	12	18	24

Chukta ranks first under every weighting tested.

How the pieces combine



Awareness messaging launches it; the distributor's salesman distributes it. Cashback is the only option dropped outright.

Validation design: 21 shop owners and 4 distributors, interviewed in Kanpur on 8 Oct

Round 2 measured stated commitment: each question asked for something costlier than the last. Prototype usability and live payments move to pilot weeks 1–2

Stage A · 📄 Screener + baseline2 min · n = 21	Stage B · 🗣️ Concept test5 min · n = 21	Stage C · 🪜 Stated commitment ladder3 min · same 21 shops
Decision-maker check, then the last real supplier payment, asked before Chukta is mentioned. Questions • S1 Decides supplier payments (owner / partner / manager) • S2 Receives on a Paytm Soundbox or QR • S3 Last supplier payment: ₹, app, which phone, minutes taken Baseline found: 21/21 paid suppliers from the owner's personal phone; PhonePe 10, Google Pay 7, bank app 3, cash 1; median 4 min per payment; median bill ₹29.7k.	Chukta explained in Hindi (bill → 9 pm reminder → one-tap pay → 7 din baad), then three questions. Questions • A1 Usefulness, 1–5 • A2 "Would you move your <i>next</i> bill here?" (forced choice vs current app) • A3 Main objection, in their own words (voice note) R1 baseline (stated): 41/50 rated the idea 4–5; 32/50 wanted 7-day pay-later. R2 re-asks with sharper, costlier questions.	Four asks, each costing the owner more: data, time, money, a promise. A cheap "yes" shows up as a drop between rungs. Rungs • L1 Share a real bill to be read • L2 Add suppliers + switch on the 9 pm reminder • L3 Pay the next supplier bill through Paytm • L4 Join a 90-day pilot · D: distributors asked to join + share a ledger Stated, not observed: answers are what owners said they would do (voice notes). The pilot measures what they actually do.

🚩 What Round 2 tested, and what it left for the pilot			
Tested in R2 (stated)	Hypothesis	Not run in R2 → pilot	When
Interest and switching intent (A1, A2)	H1 desirability	Prototype tasks on the owner's phone (usability)	Week 1
Commitment ladder L1–L4	H1 desirability	Bill capture accuracy (QR / photo read)	Week 1–2
Distributor interest, systems, payment mix	H2 channel	Real payments through Paytm (observed L3)	Week 2 onward
Bill types shops receive (QR vs paper)	H3 feasibility (input)	Usage after incentives stop (H4)	Day 60 holdout

One interview, ~10 minutes

A · 2	B · 5 min	C · 3
Screener	Concept	Ladder

Distributors: ~15 min (retailers, credit days, collection mix, billing software, MDR, pilot interest). Every interview recorded as a voice note.

👥 Sample vs quota (Kanpur, 8 Oct 2026)			
Segment	Quota	Where	n
Kirana / general FMCG	10	Kalyanpur, Kakadeo, Swaroop Nagar, MT Section, IITK	10
Chemist / pharmacy	5	Kalyanpur, Swaroop Nagar, Kakadeo, IITK	4
Canteen / dairy / bakery	5	Swaroop Nagar, Kalyanpur, IITK	4
Hardware / other	5	Kakadeo, Kalyanpur, Nankari	3
Distributors	3–5	4 markets incl. Nayaganj	4
Mix: 10 re-contacted R1 shops + 11 new · 14 owners, 7 family partners · 11 Soundbox, 6 Paytm + other QR, 4 Paytm QR only.			

🛡️ Bias controls
• Baseline first: last real payment asked before the concept • Don't lead: which app, before Paytm is mentioned • Same Hinglish script, same order for everyone • Costlier rungs expose a cheap "yes" • Voice notes kept; verbatims transcribed, repeated points grouped • Anonymised: area + shop type only • No incentives offered for any answer

📖 Secondary data used
• Paytm Q1 FY27 results (device merchants, GMV) • NPCI MDR circular & FAQs, 15 Sep 2026 • NPCI P2P collect circular, 29 Jul 2025 • NPCI app shares; 30% cap deadline • CBIC e-invoice rules (₹5 Cr; signed QR) • NBBL Bharat Connect; TallyPrime 7.0 • RBI credit line on UPI; DLD 2025 Links: Annexure A1 and workbook → Sources.

Validation results: interest is near-universal; firm commitment holds at one in three

21 shop owners and 4 distributors, 8 Oct 2026. Every figure is a stated answer; the pilot converts these into observed behaviour

🔧 Stated commitment ladder: 21 shop owners (8 Oct 2026)

A1	Rated Chukta useful (4 or 5 out of 5)	20/21 (95%)
A2	Would move their next bill: Yes · Maybe	8 Yes · 13 Maybe
L1	Would share a real supplier bill to be read	21/21 (100%)
L2	Would add suppliers + switch on the 9 pm reminder	8/21 (38%)
L3	Would pay their next supplier bill via Paytm	7/21 (33%)
L4	Want to join the 90-day pilot	13/21 (62%)
D	Distributors: agreed to join pilot · offered a ledger	2/4 · 2/4

L1 is free to say yes to, so it is near-universal; L3 asks for money and drops to a third. L4 is above L3 because joining a free pilot costs nothing today.

95%

rated it 4–5 (R1: 82%)

33%

would pay next supplier bill via Paytm

4 min

median time per supplier payment today

100%

want Chukta on their personal phone

📊 Pass bars and what the answers imply

Hypothesis	Bar	Result
H1 Desirability	≥ 30% say they'd pay next bill via Paytm (stated)	33% PASS
H2 Channel	≥ 2 distributors agree to join the pilot	2 PASS
H3 Feasibility	≥ 70% of bills captured without typing	PILOT WK 1–2
Usability	≥ 70% finish the 4 prototype tasks unaided	PILOT WK 1

Said yes to L3, by archetype

Kirana	Chemist	Dairy	Hardware
3/10	3/4	1/4	0/3

Chemists lead (3/4): confirms pharma as wave 1.

Bills shops receive (stated)

Signed e-invoice QR	7/21 (33%)
Paper / photo / WhatsApp	14/21
Distributors on Tally / Marg / Busy	3/4

Two-thirds of bills need photo read or distributor push.

🔧 We heard → our response (most-cited objections, n = 21)

Objection (count)	Response
"Salesman apna hi QR deta hai, distributor bolega tabhi karunga." (5)	Distributor-first GTM: the pilot signs distributors before shops, and Chukta Collect shows them who paid which invoice.
"GPay ki aadat pad gayi hai, fast hota hai." (5)	Pay screen leads with a 'payee name matched to GST' tick: a reason to switch that a plain scan-and-pay app does not give.
"Bhaiya paper challan aata hai, usme QR nahi hota." (1)	Photo-read confirm screen lets the owner edit invoice no. and amount when a paper challan is blurry.

(n) = shops citing that objection code. Others: trust / fraud 2 · wants credit first 2 · too many steps 2 · phone mismatch 1 · none 3.

🚚 Distributors: two in, two waiting for proof

Type · area	Shops	Credit	Cash / QR / bank	System	Pilot
FMCG · Nayaganj	250	7 d	20 / 60 / 20	Marg	Yes
Pharma · Swaroop Nagar	150	14 d	10 / 40 / 50	Tally	Yes
Mixed · Generalganj	400	0 d	40 / 50 / 10	Busy	Later
Hardware · Birhana Rd	100	30 d	30 / 20 / 50	Paper	No

"Abhi mera system set hai, pehle 10 dukaandar se test karwao phir main sochunga."

Mixed distributor, Generalganj → pilot starts small and adds distributors at day 45

"Hardware mein amount bada hota hai, log NEFT hi karte hain, QR nahi chalega."

Hardware distributor → bank-account rail, no MDR

⚠️ Limits of this evidence, and how the pilot closes each

Limit	Closed by
Stated, not observed: no prototype tasks or live payments in R2	Pilot wk 1–2: tasks + first real payments, read from distributor ledgers
Small n: 21 shops, 4 distributors, one city, one day	~2,500 shops per arm, MDE ≈ 10 pp
Saying ≠ doing: 7/21 said yes to paying via Paytm	Primary metric = observed Paytm share of supplier ₹
Interviewer effect (a student asking)	Pilot run by distributor salesmen + Paytm field staff

User journey: from three apps, a challan and memory to one inbox

Before: nine steps across the owner, the salesman and the distributor's accountant. After: four steps, and reconciliation happens on its own

BEFORE · today's supplier payment (from R1 in-depth interviews)

Owner
+ salesman
+ accountant

Stock arrives with a paper challan or WhatsApp PDF

X No due date tracked

Bill goes into a drawer or a chat

X Lost / forgotten

Salesman visits or calls to collect

X Owner on the spot

Owner opens PhonePe / GPay on personal phone

X Paytm never in hand

Scans whichever QR the salesman shows

X Salesman picks app

Types amount from the challan or memory

X Typos, part-payments

Sends a screenshot on WhatsApp as proof

X No invoice link

Accountant matches payments by hand

X Disputes, re-calls

Short of cash? Ask for udhaar or delay

X Strains credit terms

AFTER · with Paytm Chukta

1

Bill lands in Chukta by itself

Distributor pushes from Tally / Marg / Busy, or owner scans the **signed e-invoice QR**, or snaps / forwards the bill. Supplier, amount, due date and payee are pre-filled.

Paytm AI read · IRP QR verify

2

Soundbox reminds at closing

"Aaj ₹31,420 aaye. Kal Sharma Traders ke ₹12,400 dene hain." A push / WhatsApp opens that bill ready to pay.

Existing daily-summary voice

3

Ek tap mein chukta

Payee name checked against supplier's GSTIN legal name; pay from the account the Soundbox settles into, on the rail the supplier chose. Or tap 7 din baad.

Paytm UPI · credit line on UPI

4

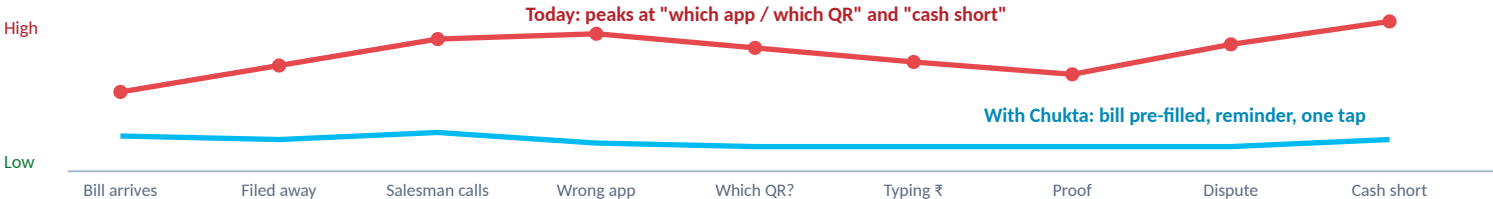
Both ledgers close

Invoice number travels with the payment; distributor's **Chukta Collect** marks it paid; a GST-ready purchase register builds itself.

Auto-reconciliation

Chukta Collect (free web + app view): invoices sent → seen → paid, per retailer; automatic reminders replace collection visits; payments land on the distributor's chosen rail (Paytm QR or bank account) already matched to invoice numbers; exportable to Tally.

Owner's stress across one bill cycle (from in-depth interviews; illustrative)



Edge cases the design handles

- Partial payment and split bills against one invoice
- Disputed bill: "Galat bill" flag goes to the distributor, not paid
- Supplier changes bank a/c: 24-hour cooling-off + re-verification
- Duplicate bill (photo + push): matched on invoice no.

9 → 4

steps to pay one stock bill

3 → 1

apps / places touched (paper, WhatsApp, UPI app)

0 → 100%

payments linked to an invoice number

Memory → voice

due dates owned by the Soundbox, not the owner

Manual → auto

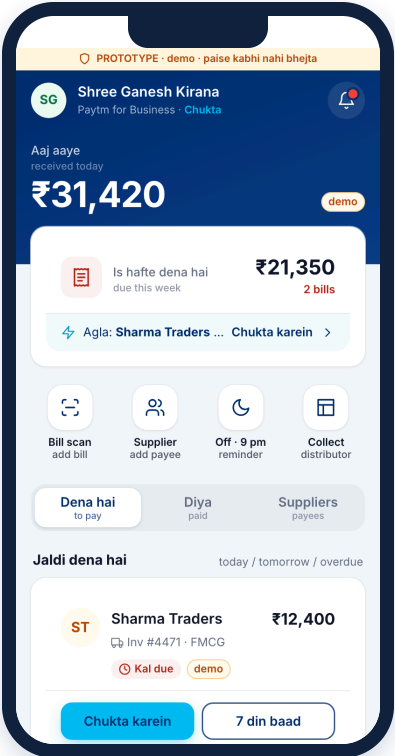
distributor reconciliation

4 min → 1 tap

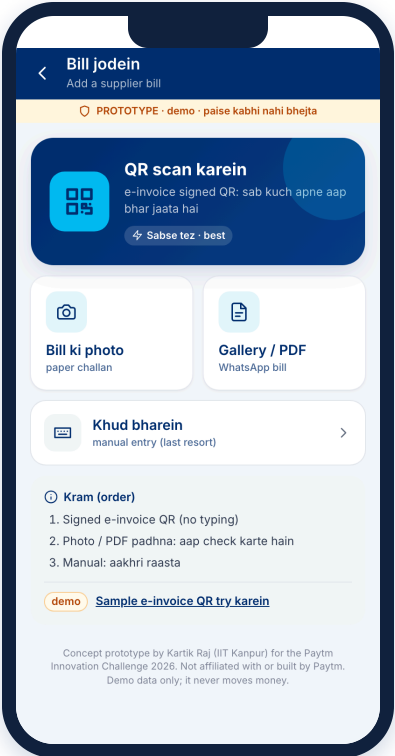
median minutes per supplier payment today (R2)

Prototype: four screens carry the whole loop: capture, remind, pay, collect

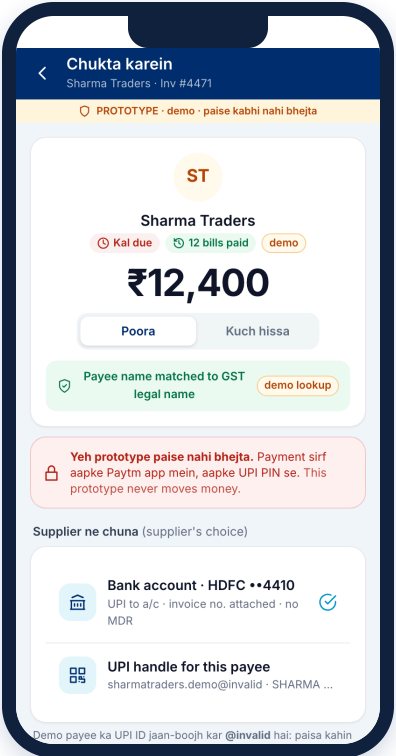
Real screens from the live prototype (demo data; link in Annexure A3): Hindi-first copy, large tap targets, one decision per screen



① **Inbox** · money in and bills due on one screen; also in the Paytm app.



② **Capture** · signed QR first; photo / PDF read with owner confirm.



③ **Pay** · GST name-match tick first; supplier picks the rail; one button.

④ Chukta Collect · distributor view (web)

₹8.4 L
sent this week

₹6.1 L
paid in Chukta

212
retailers active

-4 days
avg days to pay

Retailer	Invoice	₹	Status
Agarwal Kirana	#4469	18,200	Paid · matched
New Shiv Medical	#4470	9,450	Seen
Sharma General Store	#4471	12,400	7 din baad

Illustrative data. Export to Tally / Marg; reminders are sent by Paytm, never as a UPI collect.

Soundbox script (Hindi, 9 pm)

"Aaj ₹31,420 aaye. Kal Sharma Traders ke ₹12,400 dene hain. Chukta karne ke liye Paytm kholein."

AI Soundbox owners can also ask: "Is hafte kitna dena hai?" Only totals and supplier names are spoken; amounts can be muted for privacy.

Design choices from the VOCs

- Hindi-first verbs** ("Chukta karein", "7 din baad"): owners spoke Hinglish in all 50 VOCs
- Money-in on top**: the reminder lands next to today's collections, the link that's missing
- One decision per screen**, large buttons for counter use with a customer waiting
- Trust cues**: e-invoice ✓, payee-match ✓, "12 bills paid" history; no collect requests
- Safety by default**: a new or changed payee needs a GSTIN name match before the first payment
- Low-literacy friendly**: icons, big numerals, amounts spoken aloud by the Soundbox
- Patchy network**: bills cached on the phone; payment uses the standard UPI flow
- Counter-speed**: "Chukta karein" reachable in one tap from the reminder
- Prototype link: Annexure A3

What is real vs demo in the test prototype · and the tap path

Works for real	Demo / stub (labelled)
✓ Real e-invoice QR + bill-photo read	✗ GSTIN name lookup
✓ UPI intent or QR scan in Paytm	✗ Collect data, credit
✓ Hindi voice summary	✗ Push / WhatsApp, Bharat Connect

From reminder to paid: 4 taps

9 pm reminder → ① open bill → ② Chukta karein → ③ Paytm UPI PIN → ④ proof saved

Today: 9 steps, 3 apps (slide 8). The prototype never moves money; the owner pays with their own PIN.

Hosted as a web app (link in Annexure A3), nothing to install; pilot week 1 runs the 4 tasks on owners' phones.

Feasibility: Chukta reuses five live Paytm assets; the MVP is a medium build in 12 weeks

Only two pieces are large (ERP connectors and business credit) and both can follow the MVP. Every rail it uses is already live in 2026

How it fits together

Capture

Bharat Connect / Paytm API push · e-invoice QR verify (IRP public key) · AI read of photo / PDF · WhatsApp forward

NEW

Chukta core

Bill ledger + due-date engine · Supplier directory: GSTIN ↔ VPA / a/c match · Merchant-ID sync across both apps

NEW

Engage

Soundbox daily summary voice · AI Soundbox Q&A · Push / WhatsApp

REUSE

Pay

Paytm UPI (TPAP): QR / VPA / a/c-IFSC · Credit line on UPI via partner bank

REUSE

Records

Purchase register + GST export · Chukta Collect for distributors · Inflow + outflow data to lending engine

NEW + REUSE

Paytm features reused · and does the data exist?

✓ Paytm for Business (10 M+ businesses) + Paytm app

✓ Soundbox / AI Soundbox: summary voice, 11 languages

✓ Paytm UPI stack with PSP banks; instant settlement

✓ Merchant-loan engine + Postpaid credit line on UPI (Suryoday SFB)

✓ Payment-aggregator licence (PPSL) to acquire distributors' QRs

Data needed	Source	Status
Invoice fields	e-invoice QR · ERP push · photo	✓
Supplier legal name	Public GSTIN search	✓
Payee name for a VPA / a/c	UPI name shown before PIN	✓
Shop inflow history	Paytm's own settlements	✓
Payments on other apps	Not visible → distributor ledger, AA consent	⚠
Distributor's retailer list	Tally / Marg / DMS ledger, with consent	✓
Credit underwriting inputs	Lender bureau pull + Paytm settlements (consent)	✓

What must be built, and how big (S ≤ 4 wks · M 4–12 wks · L > 12 wks, for one squad)				
Component	New / reuse	Effort	In MVP?	Notes
Bill inbox + ledger + due-date engine (both apps)	New	M	✓	Core data model; sync by merchant ID
e-invoice QR read + IRP signature check	New	S	✓	Public schema and key; fields are exact
Photo / PDF bill read with confidence score	New (reuse Paytm AI)	M	✓	Owner confirms amount + payee before paying
Payee verification: GSTIN legal name ↔ VPA / a/c name	New	S	✓	GSTIN search + UPI name lookup; flags mismatches
Soundbox "due tomorrow" line	Reuse + config	S	✓	Extends the existing daily summary script
Invoice-tagged UPI pay (QR / VPA / a/c)	Reuse	S	✓	Invoice no. in remarks; rail picked by supplier
Chukta Collect distributor view + CSV / Tally export	New	M	✓	Web first; read-only to start
Distributor push: Paytm API, Bharat Connect, Tally / Marg / Busy	New + partners	L	Pilot: CSV upload	Tally 7.0 already speaks Bharat Connect
7 din baad: business credit line on UPI	Partner	L	Wk 7 sub-cohort	Lender underwrites; P2M payees only
GST purchase register export	New	S	Phase 2	From invoice-tagged payments
Overall: MEDIUM. MVP ≈ 1 squad (PM, designer, 4 engineers, 1 QA) for 12 weeks; ERP connectors and credit run on parallel partner tracks.				

Regulatory & partner dependencies		
Dependency	What it requires of Chukta	Risk
NPCI UPI rules	Payer-initiated (push) payments only; P2P collect ended 1 Oct 2025; P2P limit ₹1 L/day per account	Low
NPCI MDR (15 Oct 2026)	0.4% on P2M > ₹2,000 borne by payee; P2P and P2PM exempt → offer rail choice	Med
RBI Digital Lending Directions 2025	Paytm as LSP; lender underwrites; key-fact statement; any default guarantee ≤ 5%	Med
DPDP Act 2023 + Rules	Explicit consent for bill data; purpose limitation; delete photos after extraction	Low
UPI device binding	Payment must start on the phone that holds the bank account → Chukta lives in both Paytm apps	Low
GST e-invoice (IRP)	Read and verify the public signed QR; no GSTN API access or GSP licence needed for this	Low
Partners	NBBL / BBPOU bank for Bharat Connect · Tally, Marg, Busy · lending partners · pilot distributors	Med

Go-to-market: sign one distributor, win 250 shops, with no consumer marketing spend

A B2B2B flywheel: the distributor gets free collections tooling, its salesman enrolls shops at the counter, and the Soundbox keeps them coming back

Who first (beachhead scoring)				
Sub-segment	₹ / shop	Bill capture	Distributor pull	Order
Pharma retail				① Wave 1
Kirana / FMCG				① Wave 1
Canteen / dairy / bakery				② With credit
Hardware / electronics				③ Later
₹/shop from R1 VOCs (pharma ₹3.09 L, kirana ₹1.42 L per month). Pharma distributors are large enough to e-invoice and often run Marg.				

The flywheel

1 Distributor signs (free Chukta Collect)

2 Salesman enrolls shops at counter

3 Shops pay bills; Soundbox nudges

4 Bill history pulls next distributor

Paytm Chukta

Flywheel math (per distributor)	Value
Retailers served	~250
Active in Chukta (40% × 70% retained)	~70
Other suppliers per active shop (R1: 2–3 use cases)	2–3
Named supplier leads (their bills land in Chukta)	~150–200

Channels & partners			
Channel	Role	Cost to Paytm	KPI
Distributor salesmen (primary)	Enrol shops during weekly order visit; 5-min demo	₹50 one-time per activated shop	Activation / salesman / week
Soundbox voice (owned media)	"Ab supplier ko bhi Paytm se pay karein" + nightly dues	≈ ₹0 (OTA script)	Reminder → payment conversion
Paytm field force	Train owners during routine device service visits	Add-on to existing visit	Trained → active
ERP / DMS partners: Tally, Marg, Busy, Bizom	"Send via Chukta" button; Bharat Connect rails	Integration effort	% invoices pushed
FMCG & pharma brands	Want faster secondary collections; nominate distributors	Co-marketing	Distributors nominated

Messaging by audience		
Audience	Line (Hinglish)	Proof point
Shop owner	"Paisa Paytm pe aata hai, bill bhi Paytm se chukta karo."	Dues read out at closing; no lost challans
Distributor	"Collection bina chakkar ke, har payment bill se juda."	Fewer cash runs; auto-matching; free
Salesman	"Cash ka bag nahi, Chukta ka link."	No cash to carry; target credit for collections
Brand / CFO	"See secondary collections in real time."	Invoice-level payment status

Rollout path		
0–3 mo · Kanpur 20 distributors (10 treated), ~2,500 shops; randomised pilot	4–9 mo · 10 cities High-Soundbox Tier-1/2 cities (e.g. Lucknow, Jaipur, Indore, Patna); 500 distributors; credit live	10–24 mo · national Brand-nominated distributors + ERP button; self-serve Chukta Collect
Gate: DiD ≥ +25 pp · 20 distributors · ~1,500 Paytm shops per arm	Target: 500 distributors × ~70 active ≈ 35k shops · credit live	Target: 3.4 L active shops at Year 1 exit (8% of target)

Why a distributor says yes

Illustrative distributor: ₹15 L sales / month, 250 retailers, 21 days of retailer credit (industry range 7–21 days; margins 4–8%).

Lever	₹ / year
Collect 5 days faster: frees ₹2.5 L working capital at 12%	+30,000
Fewer salesman collection trips and cash deposits	+ (time saved)
Auto-reconciliation vs manual matching	+ (accountant hours)
MDR if all receipts came on a P2M QR (0.4%)	–72,000
MDR if the distributor picks bank-account rail in Chukta	0

The insight: after 15 Oct, a QR-only product makes distributors pay to be paid. Chukta lets them choose, so the decision is about collections, not fees, and Paytm keeps the GMV either way.

Optional early-pay discount (e.g. 0.25% within 2 days) is set and funded by the distributor from its own scheme budget. Paytm pays no cashback.

Objections we expect, and the answer

"Salesman ka incentive cash collection pe hai."	Chukta payments count as his collections, with invoice proof
"MDR kaun dega?"	Choose the bank-account rail: no MDR
"Mere retailers app nahi chalate."	Soundbox speaks the dues; salesman does a 5-min demo

Pilot LOI: 90 days · Collect free · 4-week ledger shared · own invoices only · no exclusivity.

R2 (4 distributors): credit 0–30 days; collections 10–40% cash; 2 agreed to join the pilot, 1 wants proof from 10 shops first.

90-day Kanpur pilot: a cluster-randomised test that can say "scale" or "stop" with numbers

Randomising whole distributors (not shops) stops salesmen from spilling the treatment into the control; distributor ledgers give the true share-of-wallet

 Design	
Cohort	20 FMCG + pharma distributors in Kanpur, matched in pairs by size and category
Treatment	10 distributors (random within pair) → ~2,500 retailers get Chukta; ~1,500 are Paytm device merchants (analysis cohort)
Control	The other 10 → ~2,500 retailers, business as usual
Baseline	4 weeks pre-launch: distributor ledger (invoice, amount, payment mode, app) + Paytm data; AA-consented bank data on 200 shops
Analysis	Difference-in-differences on Paytm share of supplier ₹, clustered errors
Spillover	Shops buying from both arms are flagged and analysed separately

 Targets at day 90 (treated Paytm device shops)	
Metric	Target
Paytm share of supplier ₹: DiD vs control (primary)	≥ +25 pp
Paytm share of supplier ₹ in treated shops (from ~0–8%)	≥ 35%
Activation: ≥ 1 bill paid in Chukta within 14 days	≥ 40%
Repeat: activated shops paying ≥ 3 bills in month 3	≥ 60%
Bills visible in Chukta (pilot distributors' invoices)	≥ 70%
Retention after discount switched off at day 60	≥ 85%
Distributor days-to-collect	~3 days
Credit sub-cohort: uptake among shops offered	≥ 20%

 Guardrails & power	
! Payment failure rate < 1%; zero unrecovered fraud losses ! Complaints < 2% of active shops ! Soundbox churn in treated shops ≤ control ! Credit (week 7+): first-payment default < 2% on small limits	
Power: 10 vs 10 clusters, ~150 analysable shops each, ICC 0.05 assumed → design effect ≈ 8.5 → ~177 effective shops per arm → minimum detectable effect ≈ 10 pp at 80% power, α = 0.05. Our target (+25 pp) is well above it.	
Budget ≈ ₹10 L: field team 6 × 3 mo (₹7.2 L), activation fees (₹0.5 L), distributor onboarding (₹0.5 L), infra / AI read (₹0.3 L), print & comms (₹0.5 L), contingency (₹1 L)	
Team: Paytm Kanpur city lead (owner) · 6 field associates · 1 analyst · 10 distributor champions · lending-partner RM	



13-week plan

	W0	W1	W2	W3	W4	W5	W6	W7	W8	W9	W10	W11	W12
Recruit + randomise 20 distributors													
Baseline ledgers (4 wks)													
MVP build complete													
Salesmen trained; shops enrolled													
Live: inbox, voice, pay													
Credit sub-cohort (lender)													
Discount switched off (holdout)													
Read-outs: D30 / D60 / D90													

SCALE

DiD ≥ +25 pp and repeat ≥ 60% and guardrails met → 10 cities

ITERATE

DiD +10 to +25 pp → fix the weakest funnel step, extend 60 days

STOP

DiD < +10 pp or activation < 15% → keep only the Soundbox reminder



Leading indicators: what we read each fortnight

Funnel step	Indicator	D30	D90
Reach	Shops enrolled by salesmen	60%	80%
Capture	Invoices visible in Chukta	50%	70%
Activation	≥ 1 bill paid in 14 days	25%	40%
Habit	Reminder → pay within 24 h	30%	50%
Repeat	≥ 3 bills / month	–	60%
Share	Paytm share of supplier ₹	15%	35%

After the pilot: 10 cities with the highest Soundbox density, then national via brand-nominated distributors and the ERP "Send via Chukta" button (slide 11).

Review cadence

Weekly
 Funnel dashboard by distributor; fix the weakest step

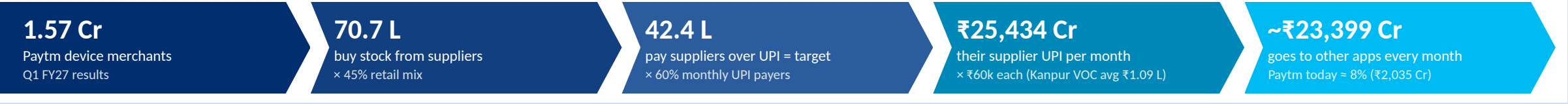
Day 45
 Mid-point check: activation ≥ 25% or re-train salesmen

Day 90
 DiD read-out → scale / iterate / stop

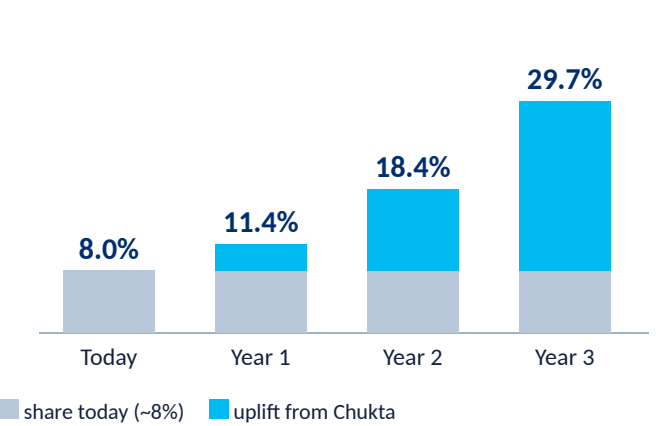
Main metric: Paytm's share of its merchants' supplier UPI rises from ~8% to ~30% in 3 years

Built bottom-up from the segment funnel; no growth in UPI assumed, and today's ~8% Paytm share is netted out before counting any uplift

Size of the opportunity (segment funnel, national)



Paytm share of segment's supplier UPI

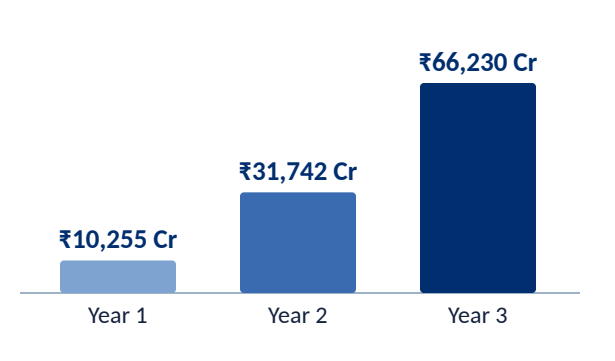


KPI tree. Segment share = 8% + (adoption × share-of-wallet uplift among adopters). Year 3: 35% of target shops × (70% – 8%) ≈ **+21.7 pp.**

Kanpur's starting point is 0%, not 8%: the national model deliberately understates the uplift there.

How the share is measured. Numerator: Paytm-initiated supplier payments (invoice-tagged, so Paytm can see them). Denominator: distributor ledgers + Account Aggregator data on a consented panel of shops. Paytm cannot see other apps, so the panel is the national tracker too.

Incremental Paytm UPI GMV / year



- ≈ 92 L extra UPI transactions a month by Year 3
- Adds ~**0.18 pp** to Paytm's share of **all** UPI value (≈ 2.7% on top of Paytm's ₹2.04 L Cr monthly UPI value) from this one segment
- Cumulative 3-year GMV: **₹1,08,227 Cr**

— **Cannibalisation netted out.** The ~8% of supplier UPI already on Paytm is subtracted before counting uplift. Payments shifted from cash or NEFT are new UPI GMV for the whole market, not just a switch between apps.

Year-by-year build

Driver	Year 1	Year 2	Year 3
Adoption (% of 42.4 L target shops)	8%	20%	35%
Active Chukta shops (business-payer MTU)	3.4 L	8.5 L	14.8 L
Paytm share of an adopter's supplier UPI	50%	60%	70%
Supplier payments on Paytm / shop / month (frequency; today 0.8)	5.0	6.0	7.0
Incremental transactions / month	14.2 L	44.1 L	92.0 L
Incremental GMV / month	₹855 Cr	₹2,645 Cr	₹5,519 Cr
Paytm share of segment supplier UPI	11.4%	18.4%	29.7%

Early indicators that predict the share number

Indicator	Why it leads share	Scale bar
Activation (1st bill in 14 days)	Shows the bill-in-app trigger works	≥ 40%
Repeat (≥ 3 bills / month)	Habit, not trial	≥ 60%
Reminder → payment in 24 h	Soundbox loop is doing the work	≥ 50%
Invoices visible in Chukta	Supply of bills caps the share	≥ 70%

— **Upside not counted.** UPI value growth; retailers who are not yet Paytm merchants but pay pilot distributors; distributor acquiring revenue beyond MDR; better merchant-loan underwriting from outflow data.

Unit economics: a one-time ~₹220 per shop buys ₹3–4.5 L of new GMV a year

Cost per extra active user and per ₹ of GMV fall every year because acquisition is one-time and the pull (bills + voice) is free to repeat

CAC build-up per new active shop



Distributor onboarding ₹5,000 ÷ (250 shops × 40% activation × 70% still active).
Salesman fee ₹50 and training ₹30 per activation ÷ 70%.

Does usage hold when incentives stop?

No Paytm incentive exists to stop. The pull is the bill in the inbox, the 9 pm reminder and the records.

Lever	Paid by	Recurring?
Salesman activation fee ₹50	Paytm	No, once per shop
Early-pay discount (optional)	Distributor	Off at day 60 in holdout
Merchant cashback	None	–
Soundbox reminder, records	Built in	Free to repeat

Tested: a random half of treated distributors switch the discount off at day 60; we need ≥ 85% of day-60 payers still paying in month 3, compared with the half that keep it.

If it fails: drop the discount and lean on reminders + records; cost per shop falls further.

A 0.1% cashback on the same Year 3 GMV = ₹66 Cr / yr, forever, vs Chukta's total Year 3 cost of ₹24 Cr.

3-year P&L for Chukta (₹ Cr)

Line	Year 1	Year 2	Year 3	Basis
Payer-app MDR (TPAP share)	4.1	12.7	26.5	0.08% on the 50% of GMV that is P2M > ₹2k
Acquirer MDR on Paytm-acquired supplier QRs	1.8	5.7	11.9	0.12% on 30% of that GMV
Credit distribution (7 din baad)	12.2	45.8	106.8	10/15/20% of shops × ₹20k / mo × 1.5% take
Total revenue	18.2	64.2	145.2	
Build (one-time) + run team & infra	12.0	6.0	6.0	₹6 Cr build + ₹6 Cr / yr
Acquisition (new active shops × ₹220)	7.5	11.2	14.0	3.4 L / 5.1 L / 6.4 L new
AI bill reading + support	0.9	2.4	4.2	₹0.30 / photo bill (half of bills); ₹10 / shop / yr
Total cost	20.4	19.6	24.1	
Contribution	-2.3	44.6	121.1	3-yr: rev ₹228 Cr vs cost ₹64 Cr

Excludes: Soundbox churn saved, merchant-loan uplift from better underwriting, new merchants acquired through distributors. Credit losses sit with the lender (Paytm as LSP).

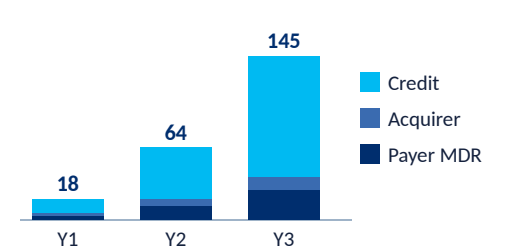
The two numbers the brief asks for

	Y1	Y2	Y3
Cost per extra active shop	₹602	₹231	₹163
Cost per ₹1,000 of extra GMV	₹1.99	₹0.62	₹0.36
Revenue per ₹1,000 of extra GMV	₹1.77	₹2.02	₹2.19

All-in cost ÷ active shops and ÷ new GMV. Pilot (sub-scale): ~₹1,000 / active shop.

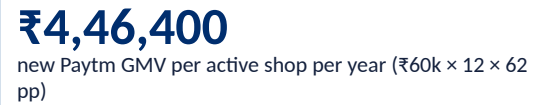
Headroom: CAC can rise to ₹567 (2.6×) before 3-yr payments revenue stops covering it.

Revenue mix risk (₹ Cr)



Year 3 is 74% credit. With zero credit, payments revenue alone is ₹38 Cr vs ₹24 Cr cost. GMV, the main metric, does not depend on credit.

Per-shop economics (Year 3 run-rate)



Revenue / shop / yr	₹
Payer-app MDR	179
Acquirer MDR	80
Credit distribution	720
Total	979

10 mo
CAC payback, payments only

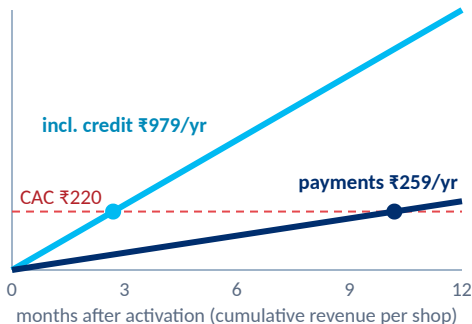
3 mo
payback incl. credit

2.6×
3-yr LTV / CAC, payments only

9.7×
3-yr LTV / CAC incl. credit

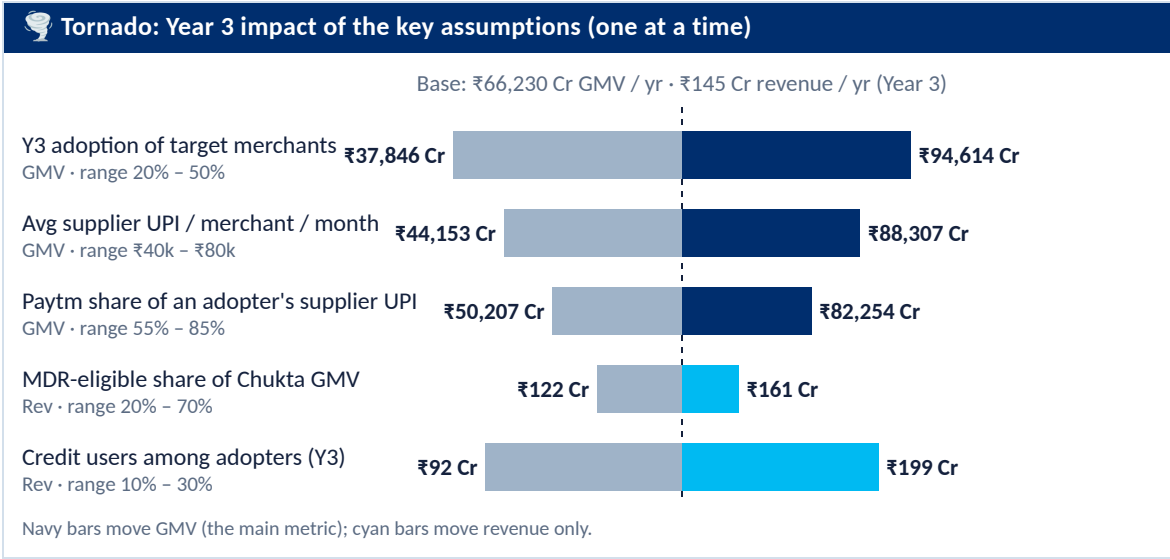
LTV: 3 years, 70% annual retention, undiscounted. CAC ≈ 0.07% of one year's new GMV per shop.

Payback curve



Sensitivity and risks: even a combined bear case stays profitable

Adoption is the swing factor for GMV, credit uptake for revenue. The biggest threat is a PhonePe copy, so the moat is speed with distributors



What has to be true (and how the pilot checks it)

Belief	Base	Breaks if	Pilot reading
Shops pay most supplier ₹ in Chukta once bills live there	70% (Y3)	< 40%	Treated-shop share at D90 (≥ 35%)
Distributors enrol their retailers	35% of target by Y3	< 15% activation	Activation by distributor
Contribution stays positive in Y3	₹121 Cr	Credit users < 10% and adoption < 20%	Credit sub-cohort uptake

Scenarios (Year 3, all drivers moved together)

Case	Adoption	Share	₹ / shop	GMV / yr	Segment share	Contribution
Bear	20%	55%	40k	₹19,126 Cr	17.4%	₹29 Cr
Base	35%	70%	60k	₹66,230 Cr	29.7%	₹121 Cr
Bull	50%	85%	80k	₹1,56,673 Cr	46.5%	₹260 Cr

Bear also sets credit users 10%, MDR-eligible 30%; bull 25% and 60%.

Risk register

Risk	L	I	Mitigation	Early signal
PhonePe / GPay copy the bill inbox (6–9 months)	H	M	Move first on distributors (500 in 10 cities by month 9); Chukta Collect + ERP integrations create switching costs; credit underwritten on inflow and outflow is hard to copy; leaders face the 30% cap if NPCI enforces it	Competitor "pay supplier" launch; distributor churn
Competitor cashback war on supplier payments	M	M	Don't match. Workflow beats a one-off reward; watch retention in the holdout; respond with features (records, credit)	Treated-shop share falls > 5 pp
Distributors avoid MDR (cash / NEFT)	H	L	Rail-neutral by design: bank-account rail is MDR-free; GMV stays on Paytm	Rail mix in ledgers
Fake bill / QR-swap fraud	M	H	GSTIN ↔ payee name match; signed e-invoice check; 24 h cooling-off on new or changed payees; push-only, never collect	Name-mismatch rate
Credit losses	M	M	Lender underwrites (RBI DLD 2025); small first limits; repayment from settlements with consent; credit only after payment habit forms	First-payment default
Habit doesn't form beyond the first bill	M	H	Nightly Soundbox ritual; bills arrive without effort; STOP rule at D90	Repeat < 40% at D60
Rule change (MDR rollback, cap extended)	M	L	MDR is ~26% of Y3 revenue and 0% of the GMV case	NPCI circulars
Data privacy (DPDP)	L	M	Consent per data use; delete bill photos after reading; distributors see only their own invoices	Consent opt-out rate

L = likelihood, I = impact (analyst judgement).

Competitor response playbook

If they...	Likely move	Our response
PhonePe	Adds "pay supplier" + speaker reminders for its 5 Cr+ merchants	Lock top distributors per city first; ERP buttons; credit on two-sided data
Google Pay	Bundles bill pay with SoundPod; rewards	No reward war; push records + GST register + Collect
Bharat Connect banks	Offer retailer bill pay in bank apps	Partner, don't fight: Chukta is a Bharat Connect retailer front-end

Annexure A1 • Model assumptions and sources

Every input is editable in KartikRaj_R2_Annexure.xlsx → "Business Model" (blue cells); the deck numbers are generated from the same inputs

Inputs		
Assumption	Value	Source / reasoning
Paytm device merchants	1.57 Cr	Paytm Q1 FY27 results (Jul 2026)
Share buying stock from suppliers	45%	Assumption: retail-heavy Soundbox base; excludes services
...paying suppliers over UPI monthly	60%	Conservative; Kanpur VOC 48/50
Supplier UPI per shop / month	₹60,000	₹3 L sales × ~80% on stock × ~25% via UPI; Kanpur avg ₹1.09 L
Paytm share today	8%	National app share 8.1% (Aug 2026); Kanpur 0%
Adoption Y1 / Y2 / Y3	8 / 20 / 35%	Cut from R1 (15/30/45%); pilot activation target 40% of reachable
Adopter share-of-wallet Y1–Y3	50 / 60 / 70%	Rest stays with cash-only and non-pilot suppliers
Supplier payments / shop / month	10	R1 VOC use-case frequencies
MDR-eligible share of Chukta GMV	50%	Rest goes to bank a/c rail, P2PM-exempt or ≤ ₹2k
Payer-app / acquirer share of MDR	0.08% / 0.12%	NPCI split: 20% UPI app, 30% acquirer of 0.4%
Supplier QRs acquired by Paytm	30%	Assumption; Chukta Collect onboarding
Credit users / draw / take	10–20% · ₹20k · 1.5%	Assumption; short-tenor line via partners
Build / run cost	₹6 Cr + ₹6 Cr/yr	1–2 squads, loaded cost
CAC per new active shop	₹220	Slide 14 build-up
National UPI value	₹29.9 L Cr / mo	NPCI, Aug 2026
Sanity checks on the inputs		
Check	Result	
42.4 L target shops vs ~1.3 Cr kiranas in India	≈ ⅓ of kirana count: plausible for Paytm's device base, which also includes chemists and other retail	
₹60k / shop / month vs the Kanpur sample	Kanpur average ₹1.09 L, so the base is ~45% lower (conservative)	
Paytm share today: 8% vs 0%	Kanpur measured 0%; using 8% shrinks the uplift	
Year 3 GMV vs Paytm's own UPI value	₹5,519 Cr / mo ≈ 2.7% on top of ₹2.04 L Cr / mo: material but not implausible	

Outputs			
Output	Year 1	Year 2	Year 3
Active shops	3.4 L	8.5 L	14.8 L
Incremental GMV / yr	₹10,255 Cr	₹31,742 Cr	₹66,230 Cr
Segment share	11.4%	18.4%	29.7%
Revenue / cost	18 / 20	64 / 20	145 / 24
Added to Paytm share of all UPI value	+0.03 pp	+0.09 pp	+0.18 pp

Sources (full links in workbook → Sources)
- Paytm Q1 FY27 results, 20–21 Jul 2026 (Upstox, HDFC Sky, Inc42) - NPCI MDR circular and FAQs, 15 Sep 2026 (Angel One, ICICI Direct, SCC Online, Entrepreneur India) - NPCI P2P collect discontinuation circular, 29 Jul 2025 (Outlook Money, PTI) - UPI app shares and 30% cap deadline (Inc42, StartupFeed, Sep 2026) - Paytm AI Soundbox launch, 9 Oct 2025 (Paytm blog) - Paytm Postpaid credit line on UPI with Suryoday SFB (MediaNama, Sep 2025) - Bharat Connect for Business: NBBL (Feb 2026), TallyPrime 7.0 (May 2026) - E-invoicing ₹5 Cr threshold, signed QR contents (CBIC; Busy, Tally guides 2026) - PhonePe Business and Paytm for Business Play Store listings (Sep 2026) - Bizom (8 M retailers); FMCG distributor margins & credit days (industry guides, 2026) - RBI: small finance banks allowed to offer credit lines on UPI (Business Standard, Dec 2024) - Kirana count ~1.3 Cr and distributor credit practices (Spirestock, 2026) - Marg ERP 6 L+ users (SoftwareSuggest listing) - Round 1 primary research: 50 VOCs, Kanpur, Sep 2026 (KartikRaj_VOC.xlsx)

Round 1 vs Round 2 forecast (Year 3)			
Metric	R1	R2	Why lower
Active shops	19.1 L	14.8 L	Adoption 45% → 35%
Incremental GMV / yr	₹92,020 Cr	₹66,230 Cr	Share 75% → 70%
Revenue / yr	₹189 Cr	₹145 Cr	MDR-eligible 70% → 50%; acquirer MDR added

Annexure A2 • Interview script used in Round 2, and the prototype script for pilot week 1

Same order for every shop: last real payment first, then the concept, then the ladder. Answers were given verbally and kept as voice notes

Used in R2 • Screener + concept (7 min)

S1 Dukaan ke supplier ka payment aap khud decide karte hain? (*must be yes*)

S2 Customers kis QR / speaker pe pay karte hain? (*must include Paytm*)

S3 Pichhle 7 din mein kisi supplier ko pay kiya? Kitna, kis app se, kis phone se, kitni der laga?

A1 Distributor ka bill seedha Paytm mein, raat 9 baje Soundbox bataye "kal kya dena hai", ek tap mein pay, ya 7 din baad. 1 se 5, kitna kaam ka?

A2 Agla bill isme bharenge ya abhi wale app se? Kyon?

A3 Kya cheez aapko rokegi?

Opening line: "Main IIT Kanpur ka student hoon, Paytm ki ek competition ke liye ek idea test kar raha hoon. Aapka naam ya number nahi likhunga."

R2 result: 21/21 passed the screener; median last payment ₹29.7k and 4 min; all paid from the owner's personal phone. A1: 20/21 rated 4–5. A2: 8 Yes, 13 Maybe.

Used in R2 • Stated ladder + distributors (3–15 min)

L1 Apna ek asli supplier bill Chukta mein padhwane ke liye denge?

L2 Apne 2–3 supplier jodenge aur raat 9 baje ka reminder on karenge?

L3 Agla supplier bill Paytm se chukta karenge?

L4 90-din ke pilot mein shaamil honge?

Distributors: Kitne retailers? Kitne din ka udhaar? Collection cash / QR / bank kitna-kitna? Billing kis software mein? E-invoice QR aata hai? 0.4% MDR ke baare mein kya sochte hain? Pilot mein judenge? 4 hafte ka payment record dikhayenge?

Logged as stated answers. A "Yes" on L3 means the owner said they would pay the next bill via Paytm; it was not observed in R2.

R2 result: L1 21 • L2 8 • L3 7 • L4 13 (of 21). Distributors: 2 will join, 1 wants proof from 10 shops first, 1 (hardware, NEFT-only) declined.

Pilot week 1 • prototype tasks (not run in R2)

T1 Apna koi asli supplier bill scan kijiye. (*e-invoice QR if present, else photo; check fields*)

T2 Bataiye kal kisko kitna dena hai.

T3 Sharma Traders ka bill pay kijiye aur proof dikhaiye. (*sandbox; timed vs today's ~4 min*)

T4 "7 din baad" dabaiye. Iska matlab kya hai?

Score: unaided / helped once / failed. Pass bar: ≥ 70% finish all four unaided.

Observed L3: the prototype opens a UPI intent for a bill the owner already owes; they pick Paytm and enter their own PIN. Nothing is paid on their behalf.

First invited: the 13 R2 shops that said yes to the pilot (L4), so stated and observed answers can be compared shop by shop.

Neutral replies when the owner pushes back

Owner says	Interviewer says (doesn't sell)
"Isme kya fayda?"	"Aap bataiye, kis cheez mein kaam aa sakta hai ya nahi?"
"Paytm pe bharosa nahi."	"Kis wajah se? Pichhli baar kya hua tha?" (log as objection)
"Aap Paytm se ho?"	"Main IIT Kanpur ka student hoon, ek idea test kar raha hoon."
"Baad mein aana."	Thank, leave; never push

Question → workbook column

Asked	Logged in "R2 Validation Log"
S2–S3	Receives on • last payment ₹, app, phone, minutes
A1–A3	Usefulness 1–5 • move next bill • objection + code
Bills	Bills they receive: e-invoice QR or paper / photo
L1–L4	Stated ladder answers (Yes / No / Already paid / No bill due)
D	"Distributor Log": system, payment mix, ledger, pilot

What was used

✓ One Hinglish script, same order for all

✓ Phone voice recorder (with permission)

✓ Workbook filled from the voice notes

✓ Area + shop type only; no names or numbers

✓ No Paytm branding; no gifts or incentives

Annexure A3 • From VOC to feature to pilot metric (traceability)

Every feature exists because a coded barrier appeared in the 50 VOCs, and every feature has a pilot metric that can prove it wrong

Traceability matrix				
VOC evidence	Count	Insight	Chukta feature	Pilot metric
"Paytm sirf aane ke liye hai" • another app is default	21	Paytm is a receiving machine in the owner's mind	Bill inbox next to today's collections; Soundbox nightly dues	Reminder → payment in 24 h
Pays from owner's personal phone	32	The business app is the wrong device	Chukta in both Paytm apps, synced	Share of payments from Paytm app vs Business app
Didn't know Paytm Business can pay suppliers	40	Awareness gap, not a capability gap	Soundbox + salesman launch messaging	Enrolment by salesmen
Salesman / supplier shares his own QR	10	The distributor's side decides the app	Chukta Collect for distributors; "pay in Chukta" ask	Activation per distributor
Short on cash when stock arrives	9	Liquidity gap on stock day	7 din baad (credit line on UPI)	Credit uptake; first-payment default
Big bills go by NEFT / RTGS	6	Rail chosen by habit and size	Pay to bank a/c over UPI with invoice no.	Rail mix in ledgers
Supplier asked for cash / bank transfer recently	23	Supplier-side cost sensitivity (now MDR)	Rail-neutral design	Distributor retention
Hard to track which bill is paid	2	Records gap (small but sticky)	Invoice-tagged payments; purchase register	Disputes per 100 bills
Rated "bills inside Paytm, 1 tap" 4–5 / 5	41	Stated demand is high	Whole loop	Treated-shop share ≥ 35%
Would use 7-day pay-later	32	Credit is wanted but secondary	Phase-2 credit	Credit sub-cohort uptake

 **Workbook:** KartikRaj_R2_Annexure.xlsx (logs, dashboard, model, sensitivity, pilot, risks, sources)

 **Prototype (live):** merchant app + Chukta Collect: <https://chukta-r2-prototype.vercel.app>

Feature prioritisation (RICE = Reach × Impact × Confidence ÷ Effort; analyst judgement from VOC counts)								
Feature	Reach %	Impact (1–3)	Confidence	Effort (wks)	RICE	Release	Why	
 Soundbox "due tomorrow" line	78	2	70%	2	54.6	MVP	39/50 receive on a Paytm device	
 Payee check (GSTIN ↔ VPA name)	96	2	70%	3	44.8	MVP	Trust + fraud guard on every bill	
 Chukta in the Paytm app too	64	3	80%	4	38.4	MVP	32/50 pay from personal phone	
 Bill inbox + due-date engine	96	3	80%	8	28.8	MVP	48/50 pay suppliers; the core	
 Photo / PDF bill read	90	2	60%	6	18.0	MVP	Most bills are paper	
 e-invoice QR capture	40	2	60%	3	16.0	MVP	Distributors above ₹5 Cr turnover	
 Chukta Collect (distributor)	20	3	60%	6	6.0	MVP*	*Low shop reach, but it is the growth channel	
 7 din baad (credit)	64	2	40%	16	3.2	Phase 2	32/50 want it; lender-dependent	
 ERP / Bharat Connect push	40	2	50%	14	2.9	Phase 2	CSV upload in the pilot	
 GST purchase register	4	1	60%	2	1.2	Phase 2	2/50 raised records	